

THAT SHRINKING FEELING

As inflation threatens to touch double digits, UPA struggles for solution to the potential political nightmare

■ By Shankkar Aiyar

The Phantom is back. The stupendous rise of inflation from 3.89 per cent in December 2007 to 8.75 per cent in six months has sent the UPA Government cowering for cover. Yes there are many explanations for the rise but no solutions yet that might convince the voter. Indira Gandhi very famously called corruption "a global phenomenon" in the 1970s. It didn't help her or the Congress at the hustings. Three decades later the party has dubbed inflation a global phenomenon. It may convince the convinced but clever rationalisation generally fails at the voting booth. Almost on cue, a nervous Left has brought up the issue of rising prices in three meetings in two months and CPI MP Gurudas Dasgupta predictably asked Prime Minister Manmohan Singh "why Finance Minister P. Chidambaram should continue"? The tirade stopped only when Manmohan asked political parties to stop "politicising the misery of people".

Sage advice for sure but the politics of economics is staring at the Congress-led UPA. Lulled by the triumphalism of corporate performance, the BJP-led NDA discovered after 2004 elections that India was shining only for the non-voting class as suffering Bharat voted them out. Four years later, the Congress which lured power on the provocative catchline *Congress ka haath aam aadmi ke saath* finds itself in a similar spot. Despite the Bradmanesque average of 9-plus per cent growth for three consecutive years, accolades have eluded Chidambaram. Worse, headline inflation has robbed the dividends of growth and eroded from the

electoral mindscape the goodwill that Congress could have reaped from the plethora of sops, including the Rs 71,000-crore farm loan waiver, increased social sector spending and the National Rural Employment Guarantee Scheme (NREGS).

In 2004 elections, the most-wanted campaign poster was one which compared the prices of essentials at the beginning of NDA regime in 1999 and in 2004. BJP's Prem Gupta, then MP and now corporate affairs minister happily got extra copies printed for anyone who wanted them. A similar exercise now would unnerve UPA partners. Yes, crude prices have shot up from \$30 to \$140 per barrel, food prices are inextricably linked with energy inflation and the global economic outlook is bad. Prices of essentials and interest rates have spiralled. But rational explanation is not what the electorate wants. Caught between the cost of living and the rising cost of borrowed money, the middle-class wants a solution which in the current economic scenario is hard to come by. As Railway Minister Lalu Prasad Yadav asks, "Does anyone have a *jaadu ki chhadi* to solve this problem? Let the Opposition come up with one good idea."

Obviously there is no magic bullet that the dream team of Manmohan, Chidambaram and Montek Singh Ahluwalia, deputy chairman of the Planning Commission, can bite. The answer lies between the Government's acts of commission and, importantly, omission. UPA Government came to power as the economy was taking off. Fuelled by private consumption driven by low cost of money triggering a boom in corporate profits, India emerged as the second fastest economy notching 8.8 per cent GDP growth across four years. Even as the UPA basked in the glory of new billionaires on the *Forbes* list, 20-plus per cent growth in money supply fuelled by forex inflows was driving inflation higher. As economists elaborated on the virtues of growth driving down poverty and debated the impact of allowing rupee to appreciate on exports and domestic industry, UPA allies—particularly the Left—worried about



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